

Market Insights > Economics

Thailand markets: Iran war-driven price shocks pressure policy constraints and markets

Responses to oil shock.

Group Research - Econs, Chua Han Teng

27 Mar 2026

Have a question?

Yes, contact me

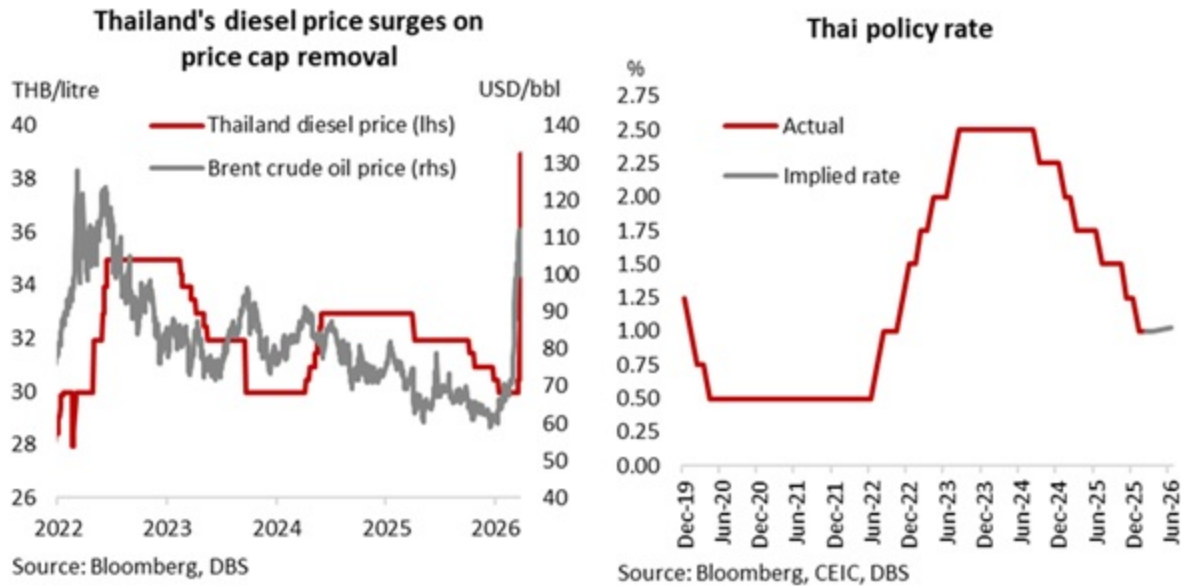


Photo credit: Unsplash/Adobe Stock Photo

Thailand's financial markets remain under pressure, with the Thai baht (-5.3%) the worst-performing currency in the ASEAN-6 region month-to-date, while the benchmark equity index also lost ground (-5.8%). The underperformance reflects the economy's high vulnerability to severe commodity disruptions propagating from the Middle East conflict (*see our analysis [here](https://www.dbs.com/insightsdirect/api/s3/dbs-buffer/article_attachment/20260309/10-40-15_260309_insights_weekly.pdf) (https://www.dbs.com/insightsdirect/api/s3/dbs-buffer/article_attachment/20260309/10-40-15_260309_insights_weekly.pdf) and [here](https://www.dbs.com/insightsdirect/macro/library?portsec=-1&portid=44557) (<https://www.dbs.com/insightsdirect/macro/library?portsec=-1&portid=44557>)*). Downward pressures on financial markets are unlikely to ease meaningfully without a credible geopolitical de-escalation. On March 26, domestic diesel prices jumped by THB6/litre (18%) to THB38.94/litre after the government unexpectedly slashed subsidies by abandoning its diesel price cap on March 25. Fiscal pressures have been mounting, as the state-owned Oil Fuel Fund incurred rising outlays of THB20bn in just three weeks (equivalent to ~2% of GDP if annualised), while Thailand's overall public debt to GDP - ~66% as of January - is rising toward the government's 70% ceiling. Higher diesel prices will feed into increased costs for consumers, as well as for the transport, industrial, and agriculture sectors. The government is shifting instead toward targeted assistance to cushion the impact on vulnerable groups, such as welfare card holders, farmers, and fisheries, while cutting fuel excise tax.

The resulting stagflationary effects of Middle East tensions on Thailand's economy pose a policy dilemma for the Bank of Thailand (BOT). Like its global peers, the BOT is assessing the duration and severity of the supply shock stemming from the Iran war, which remains highly uncertain. Upside inflation risks have likely closed the room for further monetary easing to support a lagging economy and weak credit conditions. **Considering that the BOT just cut its policy rate to 1.00% in February, we think it is unlikely to reverse course in the near term, instead choosing to monitor whether price pressures broaden beyond energy and fertiliser price shocks, leading to higher inflation expectations and second-round effects.** Thai fixed

income markets are pricing in an unchanged policy rate for at least the next six months, but sustained elevated commodity prices driven by a prolonged Iran war would raise the market's expectations of a potential BOT rate hike.



Chua Han Teng, CFA

Senior Economist - Asean

hantengchua@db.com (mailto:hantengchua@db.com)

Subscribe [here](#) (mailto:groupresc@db.com?subject=Subscribe_to_Economics_Macro_Strategy_research_materials) to receive our economics & macro strategy materials.

To unsubscribe, please click [here](#) (mailto:groupresc@db.com?subject=Unsubscribe_to_Economics_Macro_Strategy_research_materials).

Topic

E & S Macro Strategy

► GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates)

Useful Links

- Terms & Conditions
- Announcements
- Monetary and Non-Monetary Benefits Schedule
- Important Notes
- Fee Schedule
- Best Execution Policy

Others

- Information for Non-Singapore Residents
- Our Business Practices
- Insurance Product Providers
- Rates Online
- Deposit Insurance Scheme
- Lasting Power of Attorney

Sitemap

Need Help?

- Phone - 1800 221 1111
- Have someone contact you
- Help & Support Portal
- Feedback

Markets

Singapore ▼

Terms & Conditions | Privacy Policy | Fair Dealing Commitment |
Compliance with Tax Requirements | Vulnerability Disclosure Policy
©2026 DBS Bank Ltd (incorporated in Singapore) | Co. Reg. No. 196800306E

